

To,
The Chief Engineer (Legal)
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Subject: Supplementary to my comments of 16 September 2026 on the draft Central Electricity Authority (Technical Standards for Construction of Electric Plants and Electric Lines) 2nd Amendment, Regulations, 2026 — F. No. CEA-TH-17/1/2021-TETD Division, dated 3 September 2026 — evidence from Tamil Nadu, and one addition on Karnataka

Sir / Madam,

1. My comments of 16 September 2026 drew on Karnataka only. Comment 1 recorded that, in Karnataka, the co-located storage the proposed Regulation 106B(20) makes compulsory has no deviation tolerance at all; comment 2 asked that the final regulations state at what point energy from that storage is deemed generated — at the hour of discharge or at the hour of charging — and the metering arrangement required to establish it. This note adds the record of a second State, Tamil Nadu, read from the notified texts and the Commission’s own drafts, and one point on Karnataka that comment 1 should have included. It supports both comments; it does not repeat them.

Deviation treatment (comment 1)

2. *In force.* For green energy open access, Regulation 13(2) of the TNERC Green Energy Open Access Regulations, 2025 sends solar, wind and wind-solar hybrid generators to the Forecasting, Scheduling and Deviation Settlement Regulations, 2024; other green energy generators to the Deviation Settlement Mechanism Regulations, 2019; and hydro, including pumped storage, outside deviation settlement. A co-located battery is named in none of the three. The two possible destinations are far apart: the 2024 Regulations cap deviation charges at 3 paise per unit (Reg. 7.2); under the 2019 Regulations, as amended, the cap has been removed from 1 April 2024, and since 4 November 2025 (order in M.P. No. 66 of 2025) the price vector reaches 1000 paise/kWh below 49.90 Hz.

3. *In draft.* The Commission’s drafts of May 2026, none notified as at 21 September 2026, would place the same battery according to the plant beside it. Beside a solar or wind plant, the draft Forecasting, Scheduling and DSM Regulations for Wind, Solar and Hybrid (with or without ESS), 2026 compute deviation on net injection at the interconnection point, with storage charging deducted (Regs 5.12, 10.7), within a tolerance of 5% or 7% and a cap of 7 paise per unit (Reg. 7.4). Beside a conventional plant, or standalone, the draft DSM Regulations, 2026 treat it as part of a “Generating Station ... with or without ESS” or as a seller in its own right (Regs 3(1)(i), 4(2)(c), 11(A)(3)), at market-linked charges with no cap; the draft BESS Regulations, 2026 treat such discharge as “a separate injection into the grid” (Reg. 15.5). The draft BESS Regulations also send all BESS deviations, for the entire BESS capacity, to the DSM Regulations (Reg. 20.5) and claim precedence for BESS (Reg. 1.4); as drafted they are not reconciled with the wind-solar draft. The same draft proposes that new RE projects of 5 MW and above install storage of at least 25% of RE capacity (Reg. 8.6.1).

4. *For completeness on Karnataka.* The same Regulation 13 of the KERC Forecasting, Scheduling and Deviation Settlement Regulations, 2026, in a proviso after its Table 2, caps the total deviation charges remitted by wind-solar (hybrid, with or without ESS) generators in a financial year at 3 paise per kWh of their annual generation, to be reviewed after three years; the Commission’s statement of reasons records that it adopted this ceiling from Tamil Nadu’s 2024 Regulations. Comment 1 should have mentioned it. The Nil band stands, but its annual cost is bounded. So Karnataka gives the mandated

storage a Nil tolerance band under an annual ceiling, while Tamil Nadu has not yet settled which of two regimes it falls into — one carrying the same 3-paise ceiling, the other none — and its drafts answer by the kind of host plant. That is a second documented instance for the reference to the Forum of Regulators suggested in comment 1.

The hour and the meter (comment 2)

5. The regulations raise the timing question in Tamil Nadu as they do in Karnataka. The proviso to Regulation 13(1) of the Green Energy Open Access Regulations, 2025 permits energy banked in peak hours to be drawn in any block, but energy banked in normal hours only in normal hours, and energy banked in night or off-peak hours only in those hours. Under that proviso, whether a co-located battery's evening discharge counts as peak or as solar-hour energy decides whether it can be drawn at the peak.

6. On metering, the instruments in force point different ways. The Tamil Nadu Electricity Grid Code, 2026 defines a Renewable Energy Generating Station as one “with or without Energy Storage System” (definition 140). The TNERC (SLDC Functions and Accountability) Regulations, 2026 require co-located RE and BESS to “maintain separate metering and scheduling” (Annexure II, 4(4)), prohibit commingling of RE and BESS energy accounting (Annexure III, 1(3)), and treat “misclassification of BESS discharge as RE injection” as potential gaming (Annexure II, 5(1)(b)). Neither states the hour at which the discharge is deemed generated.

7. The procedure meant to settle the accounting has not been traced. Regulation 20 of the Green Energy Open Access Regulations, 2025 requires the SLDC to issue a detailed procedure, including an energy accounting procedure (item (vi)), within 90 days of notification on 18 September 2025, “duly consulting the stakeholders”, for approval within a further 30 days. I found no such procedure, approved or in draft, on the Commission's final or draft regulations listings, among its orders on SLDC petitions for 2025–2026, in the Grid Code 2026 or the SLDC Functions Regulations 2026, or on the SLDC website, including the news page where the SLDC posts draft procedures for comment — all checked on 21 September 2026. In an order of 17 July 2025 (M.P. No. 21 of 2025), the Commission itself recorded that delay in implementing deviation settlement since 2019 meant the regulation “would remain only on paper”.

What follows

8. I recognise again that the Authority does not regulate State frameworks. But the first proviso to 106B(20) applies from 1 July 2027. In the two States I have examined, the mandated asset meets a Nil tolerance band under an annual ceiling in one, and an unsettled choice between a capped and an uncapped regime in the other; the regulations of both provide for banked energy to be drawn by time slot; and in neither does any instrument say at which hour the discharge is deemed generated. The suggestion in comment 2 — that the final regulations, or the connectivity and metering standards read with them, state this expressly and specify the metering arrangement — is, I submit, now the more urgent of the two, because it is the one the Authority can settle itself.

9. The instruments cited are listed below. I would be glad to provide copies if that is of use to the Authority.

Yours faithfully,

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Annex — instruments cited

Karnataka

- KERC (Forecasting, Scheduling, Deviation Settlement Mechanism and related matters for Sellers of Wind, Solar and WS-Hybrid Generation sources) Regulations, 2026 — Notification KERC/WS(DSM)/2026-27/2150 dt 19.06.2026, Karnataka Gazette 22.06.2026 — Reg. 13, proviso after Table 2; statement of reasons.

Tamil Nadu — in force

- TNERC (Terms and Conditions for Green Energy Open Access) Regulations, 2025 — Notification TNERC/GEOA/25-1/2025 dt 18.09.2025 — Regs 13(1) proviso, 13(2), 20.
- TNERC (Forecasting, Scheduling and Deviation Settlement and Related Matters for Wind and Solar Generation) Regulations, 2024 — TNERC/F&S Wind & Solar/21-1/2024 dt 22.01.2024 — Reg. 7.2.
- TNERC (Deviation Settlement Mechanism and Related Matters) Regulations, 2019 — TNERC/DSM&RM/22-1 dt 01.03.2019, Gazette 20.03.2019; amended by TNERC/DSM/22-2 dt 17.03.2020 (Gazette 08.07.2020) and TNERC/DSM&RM/22-3 dt 27.12.2024 (Gazette No. 3, 22.01.2025).
- Tamil Nadu Electricity Grid Code, 2026 — TNERC/GC/01/2026 dt 13.02.2026, Gazette No. 10, 11.03.2026 — definition 140.
- TNERC (SLDC Functions and Accountability) Regulations, 2026 — TNERC/SLDC (F&A)/26-1/2026 dt 25.05.2026 — Annexure II 4(4), 5(1)(b); Annexure III 1(3).

Tamil Nadu — orders

- M.P. No. 21 of 2025, order dt 17.07.2025 — para 2.6.
- M.P. No. 66 of 2025, order dt 04.11.2025.

Tamil Nadu — drafts (not notified as at 21.09.2026)

- Draft TNERC (Battery Energy Storage Systems) Regulations, 2026 — dt 15.05.2026 — Regs 1.4, 8.6.1, 15.5, 20.5.
- Draft TNERC (Forecasting, Scheduling and DSM for Wind, Solar and Hybrid Generation (with or without ESS)) Regulations, 2026 — TNERC/DSM/Wind & Solar/21-3/2026 dt 27.05.2026 — Regs 5.12, 7.4, 10.7.
- Draft TNERC (DSM and Related Matters) Regulations, 2026 — dt 29.05.2026 — Regs 3(1)(i), 4(2)(c), 11(A)(3).